## Figure 3. Indonesia: Public Sector Debt Sustainability Analysis (DSA)—Baseline Scenario

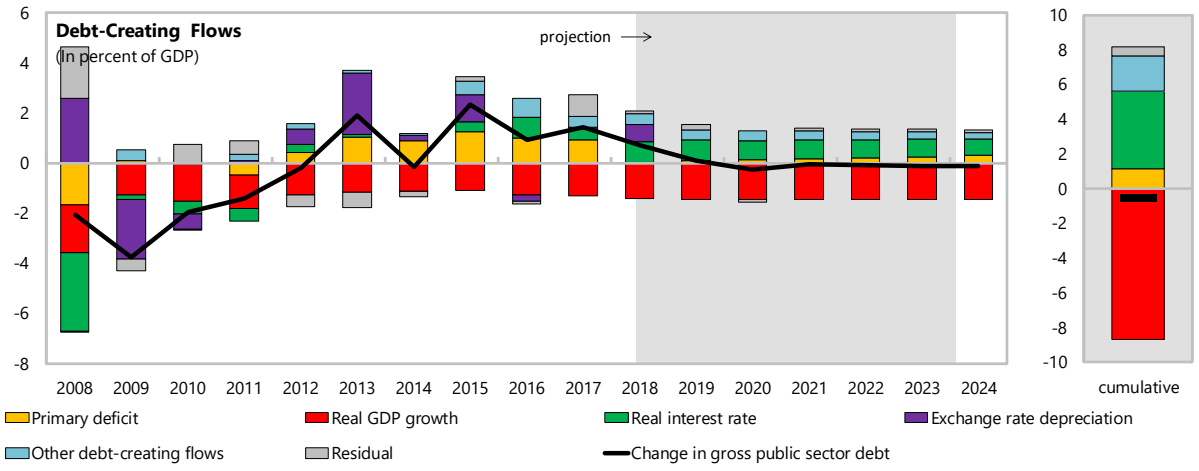
(In percent of GDP unless otherwise indicated)

### Debt, Economic and Market Indicators [1/]

| | Actual | | | Projections | | | | | | As of May 31, 2019 | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 2008-2016 [2/] | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | Sovereign Spreads | | |
| Nominal gross public debt | 25.8 | 29.4 | 30.1 | 30.2 | 29.9 | 29.9 | 29.8 | 29.7 | 29.5 | EMBIG (bp) 3/ | | 212 |
| Public gross financing needs | 3.5 | 4.7 | 4.0 | 4.3 | 4.5 | 4.3 | 4.4 | 4.3 | 4.2 | 5Y CDS (bp) | | 115 |
| Real GDP growth (in percent) | 5.7 | 5.1 | 5.2 | 5.2 | 5.2 | 5.2 | 5.3 | 5.3 | 5.3 | Ratings | Foreign | Local |
| Inflation (GDP deflator, in percent) | 6.5 | 4.3 | 3.2 | 3.1 | 3.1 | 3.1 | 3.1 | 3.0 | 3.0 | Moody's | Baa2 | Baa2 |
| Nominal GDP growth (in percent) | 12.6 | 9.6 | 9.1 | 8.2 | 8.5 | 8.5 | 8.5 | 8.5 | 8.5 | S&Ps | BBB | BBB |
| Effective interest rate (in percent) [4/] | 5.8 | 6.2 | 6.5 | 6.2 | 6.1 | 6.0 | 5.9 | 5.7 | 5.6 | Fitch | BBB | BBB |

### Contribution to Changes in Public Debt

| | Actual | | | Projections | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | 2008-2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | cumulative | debt-stabilizing primary balance [9/] |
| Change in gross public sector debt | -0.5 | 1.4 | 0.7 | 0.1 | -0.3 | 0.0 | -0.1 | -0.1 | -0.1 | -0.5 | |
| Identified debt-creating flows | -0.7 | 0.6 | 0.6 | -0.1 | -0.2 | -0.2 | -0.2 | -0.2 | -0.2 | -1.1 | |
| Primary deficit | 0.3 | 0.9 | 0.0 | 0.1 | 0.1 | 0.2 | 0.2 | 0.3 | 0.3 | 1.1 | -0.5 |
| Primary (noninterest) revenue and grants | 16.4 | 14.1 | 14.9 | 14.8 | 14.9 | 14.9 | 14.9 | 14.9 | 15.0 | 89.5 | |
| Primary (noninterest) expenditure | 16.6 | 15.0 | 14.9 | 14.9 | 15.0 | 15.1 | 15.1 | 15.2 | 15.2 | 90.7 | |
| Automatic debt dynamics [5/] | -1.2 | -0.8 | 0.1 | -0.6 | -0.7 | -0.7 | -0.7 | -0.8 | -0.8 | -4.2 | |
| Interest rate/growth differential [6/] | -1.6 | -0.8 | -0.6 | -0.6 | -0.7 | -0.7 | -0.7 | -0.8 | -0.8 | -4.2 | |
| Of which: real interest rate | -0.3 | 0.4 | 0.8 | 0.8 | 0.8 | 0.8 | 0.7 | 0.7 | 0.7 | 4.5 | |
| Of which: real GDP growth | -1.3 | -1.3 | -1.4 | -1.4 | -1.4 | -1.4 | -1.5 | -1.5 | -1.5 | -8.7 | |
| Exchange rate depreciation [7/] | 0.4 | 0.1 | 0.7 | ... | ... | ... | ... | ... | ... | ... | |
| Other identified debt-creating flows | 0.3 | 0.4 | 0.4 | 0.4 | 0.4 | 0.3 | 0.3 | 0.3 | 0.3 | 2.0 | |
| Contingent liabilities | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | |
| SOE recapitalization and land acquisition | 0.3 | 0.4 | 0.4 | 0.4 | 0.4 | 0.3 | 0.3 | 0.3 | 0.3 | 2.0 | |
| Residual, including asset changes [8/] | 0.2 | 0.9 | 0.1 | 0.2 | -0.1 | 0.1 | 0.1 | 0.1 | 0.1 | 0.5 | |




Source: IMF staff.

1/ Public sector is defined as general government.

2/ Based on available data.

3/ EMBIG.

4/ Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

5/ Derived as [(r - π(1+g) - g + ae(1+r)]/(1+g+π+gπ)) times previous period debt ratio, with r = interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

6/ The real interest rate contribution is derived from the numerator in footnote 5 as r - π (1+g) and the real growth contribution as -g.

7/ The exchange rate contribution is derived from the numerator in footnote 5 as ae(1+r).

8/ Includes asset changes and interest revenues (if any). For projections, includes exchange rate changes during the projection period.

9/ Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year.



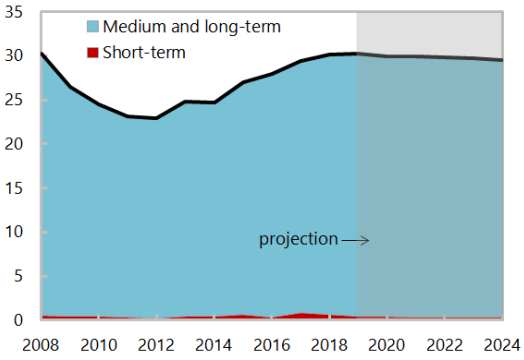
©International Monetary Fund. Not for Redistribution

## Figure 4. Indonesia: Public DSA—Composition of Public Debt and Alternative Scenarios

### Composition of Public Debt

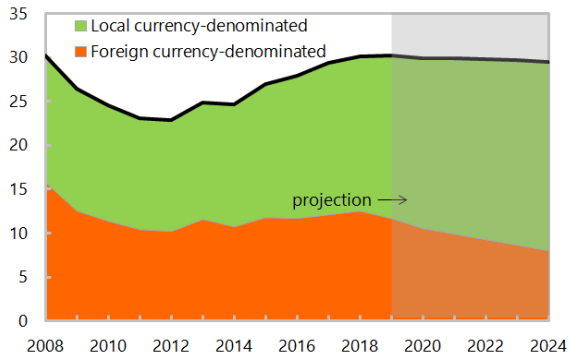
**By Maturity**

(in percent of GDP)

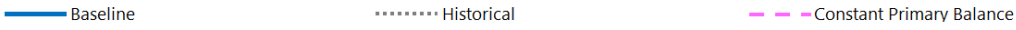



**By Currency**

(in percent of GDP)

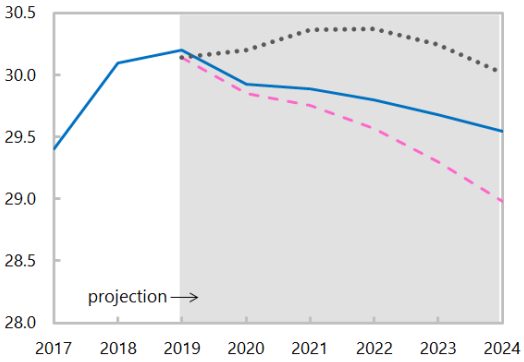



### Alternative Scenarios



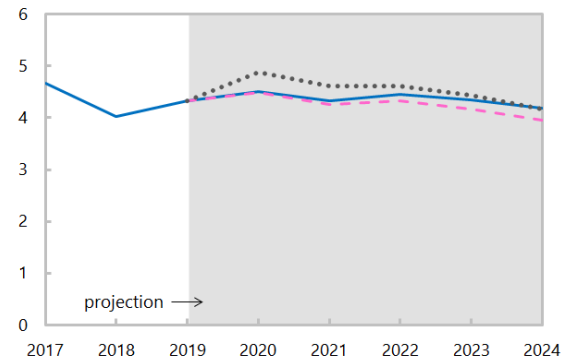

**Gross Nominal Public Debt**

(in percent of GDP)




**Public Gross Financing Needs**

(in percent of GDP)




### Underlying Assumptions

(in percent)

| Baseline Scenario | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |
|---|---|---|---|---|---|---|
| Real GDP growth | 5.2 | 5.2 | 5.2 | 5.3 | 5.3 | 5.3 |
| Inflation | 3.1 | 3.1 | 3.1 | 3.1 | 3.0 | 3.0 |
| Primary Balance | -0.1 | -0.1 | -0.2 | -0.2 | -0.3 | -0.3 |
| Effective interest rate | 6.2 | 6.1 | 6.0 | 5.9 | 5.7 | 5.6 |
| **Constant Primary Balance Scenario** | | | | | | |
| Real GDP growth | 5.2 | 5.2 | 5.2 | 5.3 | 5.3 | 5.3 |
| Inflation | 3.1 | 3.1 | 3.1 | 3.1 | 3.0 | 3.0 |
| Primary Balance | -0.1 | -0.1 | -0.1 | -0.1 | -0.1 | -0.1 |
| Effective interest rate | 6.2 | 6.1 | 6.0 | 5.9 | 5.7 | 5.6 |

| Historical Scenario | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |
|---|---|---|---|---|---|---|
| Real GDP growth | 5.2 | 5.4 | 5.4 | 5.4 | 5.4 | 5.4 |
| Inflation | 3.1 | 3.1 | 3.1 | 3.1 | 3.0 | 3.0 |
| Primary Balance | -0.1 | -0.5 | -0.5 | -0.5 | -0.5 | -0.5 |
| Effective interest rate | 6.2 | 6.1 | 5.7 | 5.3 | 4.9 | 4.6 |

Source: IMF staff.



©International Monetary Fund. Not for Redistribution